

Table 14.3 Cumulative Failure Rates

Maximum Price Rise (%)	Bull Market	Bear Market
5 (breakeven)	103 or 9%	29 or 10%
10	90 or 18%	37 or 23%
15	80 or 25%	30 or 34%
20	89 or 33%	22 or 42%
25	72 or 39%	34 or 54%
30	58 or 45%	25 or 63%
35	52 or 49%	14 or 68%
50	149 or 63%	36 or 80%
75	146 or 76%	32 or 92%
Over 75	260 or 100%	23 or 100%

Failure rates appear in [Table 14.3](#), and they show good results. Few patterns flame out before climbing more than 5%—in bull markets 9% fail, and in bear markets 10% fail. That's low compared to many other chart patterns.

Look at what happens at the 10% rate, which asks how many patterns fail to see price rise more than 10% after an upward breakout? The numbers doubled from the prior row: 9% becomes 18% and 10% becomes 23%.

How do you use this table? Let me give you an example. Say your cost of trading is 5% and you want to make a 30% profit for a total of 35%. How many patterns will fail to rise more than 35%? Answer: 49% in bull markets and 68% in bear markets. Between half and two-thirds of the trades you make will fail to meet your goal. That means your winners will have to perform dramatically better to compensate for all the losers you should expect to have. That's if you trade the pattern perfectly and hundreds of times, too. You may trade the pattern better or worse.

[Table 14.4](#) shows breakout-related statistics.

Breakout direction. By definition, the breakout is always upward. If you have a BARR bottom with a downward breakout, then it's not a BARR bottom. It's a mistake.